Global Procurement Policy v4.2

Policy owner: Procurement. Applies to: Northwind Industries Inc. and subsidiaries.

Section 1 - Purpose

This policy sets the rules that every employee of Northwind Industries must follow when buying goods or services from an external supplier. It protects the Company from financial, legal and operational risk and ensures that suppliers are selected fairly.

Section 2 - Scope

This policy applies to all statements of work, master services agreements, purchase orders and invoices issued to the Company by external suppliers, in every country and business unit.

Section 3 - Roles

Requesters raise purchase requests. Procurement validates supplier documents. Treasury owns payment terms and working capital. Legal Operations owns contract risk terms. Approvers sign off according to the spend authority bands in Section 4.

Section 4.1 - Spend Authority and Approval Bands

Contracts with a total value below USD 50,000 require approval from the requesting cost-centre Manager. Contracts with a total value from USD 50,000 up to USD 100,000 require Director approval. Contracts with a total value above USD 100,000 require approval from a Vice President and review by Legal Operations.

Section 4.2 - Currency Conversion

Contract values stated in a currency other than USD are converted at the Treasury reference rate on the date of submission before the approval band is determined.

Section 4.3 - Splitting of Purchases

A purchase must not be split into several smaller contracts to avoid a higher approval band. Related statements of work with the same supplier within twelve months are aggregated.

Section 5 - Supplier Onboarding

Every supplier must complete onboarding before a purchase order is issued, including tax registration, sanctions screening and a bank account verification call-back.

Section 6 - Competitive Bidding

Purchases above USD 75,000 require at least three competitive quotations unless a single-source justification is approved by Procurement.

Section 7 - Contract Documentation

Every engagement must be governed by a written agreement that states the scope, total value, payment terms, warranty, limitation of liability, term and governing law.

Section 8.1 - Indemnities

Suppliers must indemnify the Company against third-party claims arising from infringement of intellectual property rights and from breach of data protection law.

Section 8.2 - Insurance

Suppliers providing services on Company premises must hold public liability insurance of at least USD 2,000,000 per occurrence.

Section 8.3 - Limitation of Liability

Liability under any supplier agreement must be capped at no more than 1.0x the annual fees payable under that agreement, and the cap must apply to both parties. Agreements that expose the Company to unlimited liability, or that set a cap above 1.0x annual fees, are non-compliant and must be routed to Legal Operations and a Vice President for exception approval.